

Can Fin Homes posted their numbers - PAT came in at INR 1.4 bn vs. our expectations of INR 1.7 bn, up by 14.6% yoy. Loan growth was healthy at 22% and margins were largely stable. During the quarter, the company made provisions based on ECL model as compared to IRAC norms earlier - gross NPAs were at 0.35%, credit cost of 0.04% in Q2FY23. The company is planning to raise capital until March 2023 which could be a portion of the enabling resolution of INR 10 bn. In addition to this, it is looking for the replacement of current MD & CEO, which is expected to join by the end of Q3FY23.

It is trading at 1.6x FY24e ABV. Earlier concern of likely fraud that might come has not transpired. Secondly, change of management at the top level is likely to take 3-6 months time. Over the longer run, it is likely to grow at 18-20% levels with reasonable spreads of 2.4%. Considering this, ROE and 18-19% and ROA of 2%+, target valuation multiple will not increase beyond 2.1x on FY24e. Retain BUY with revised TP of INR 663, upside of 28% from current levels.

Key Highlights

- AUM growth** - Loan book was up 22% yoy to INR 288 bn. Within total loan book, salaried professional which had 74% share, grew by 22% yoy vs. 25.6% yoy growth seen in Q1. And self-employed professionals, which forms 26% of total loans, grew at higher pace of 22% yoy vs. 19% growth seen in Q1. The company is planning to grow at 19-20% CAGR over the next 3-4 years. With respect to geographies, Karnataka + Telangana state constitutes 40-42% of AUM (both would be ~21% each). Management said there is good demand seen in the affordable as well as non-affordable segment. However, in the premium segment demand is slightly affected given increase in the construction cost by 10-12% and higher lending rates as well. With respect to mix, builder financing book will be 0.5% of the total loans over the next 3-4 years time.

Financial Summary

(Rs.bn)	FY21	FY22	FY23E	FY24E	FY25E
NII (Rs)	798	816	1,026	1,307	1,592
PAT (Rs)	456	471	601	768	949
EPS	34	35	45	58	71
ROE (%)	19.2	16.6	17.9	19.3	19.8
ROA (%)	2.1	1.9	2.0	2.1	2.2
P/E	15.2	14.7	11.5	9.0	7.3
P/BV	2.7	2.3	1.9	1.6	1.3
P/ABV	2.8	2.3	2.0	1.6	1.4

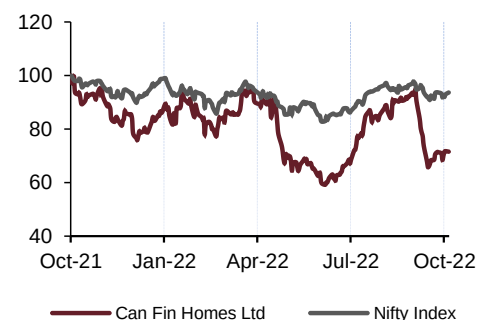
Source: Dalal & Broacha Research, Compnay

Rating	TP (Rs)	Up/Dn (%)
BUY	663	32

Market data

Current price	Rs	502
Market Cap (Rs.Bn)	(Rs Bn)	67
Market Cap (US\$ Mn)	(US\$ Mn)	812
Face Value	Rs	2
52 Weeks High/Low	Rs	722 / 406.65
Average Daily Volume	('000)	1,077
BSE Code		511196
Bloomberg		CANF.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	29.99	29.99
Public	70.01	70.01
Total	100	100

Source: Bloomberg

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- **Margin outlook** - Margins came off marginally to 3.55% from 3.6% levels due to increase in the cost from 5.8% to 6.04% qoq. In the near-term, company would be able to maintain 3.5% margins and 2.5% spreads. However, over the long-term, it would be able to maintain 3% margins and 2.4% spreads. Incremental yields for the quarter is 9.02% and incremental cost is 6.48%. it doesn't sees large increase in funding cost in the next few quarters
- **Asset quality** - NPAs have increased sequentially - gross NPAs were at 0.35% vs. 0.3% qoq. NPL provisions were at INR 13 cr vs. write-back of INR 3.7 cr in Q1. In the current quarter, the NBFC has made provisions based on ECL model (provisioning norms are required to be done as per IRAC norms or ECL norms whichever is higher). Going ahead also, ECL model will be followed. In Q2FY23, slippages stood at INR 120 mn and recoveries at INR 130 mn. Credit cost for the quarter was at 0.04% vs. management guidance for the full year being at 0.12-14% for the full year FY23. Stage-2 loans (excluding restructured) at Rs10.5bn and provisions against the same is Rs0.6bn
- **Change of guards at the top level** - With the resignation of current MD&CEO Mr.Girish Kousgi, it is looking for the replacement of the same, which is expected to join by the end of Q3FY23. Present MD CEO is vacating office by 20th October. Company is in the process of hiring CRO (Chief Risk Officer) and CFO (Chief Financial Officer). Current designate will continue to work with the company while their replacement process is on
- **Valuations** - It is trading at 1.6x FY24e ABV. The company is planning to raise capital until March 2023 which could be a portion of the enabling resolution of INR 10 bn. Earlier concern of likely fraud that might come has not transpired. Secondly, change of management at the top level which is likely to take 3-6 months time. Over the longer run, it is likely to grow at 18-20% levels with reasonable spreads of 2.4%. Considering this, ROE and 18-19% and ROA of 2%+, target valuation multiple will not increase beyond 2.1x on FY24e. **Retain BUY with revised TP of INR 663, upside of 28% from current levels.**

Quarterly Financials

P&L (Rs cr)	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23	YoY (%)	QoQ (%)
Interest Earned	460.6	449.2	462.6	502.0	555.8	606.5	652.2	41.0	7.5
Interest Expended	274.8	268.0	270.8	296.1	318.5	356.1	401.0	48.1	12.6
NII	185.8	181.2	191.8	205.9	237.3	250.4	251.2	31.0	0.3
Other Income	6.8	1.6	5.3	6.4	5.5	5.1	5.4	1.8	5.9
Net Income	192.5	182.8	197.1	212.4	242.8	255.5	256.6	30.2	0.4
Opex	42.8	30.3	34.2	40.3	48.2	40.5	40.5	18.2	0.0
PPOP	149.7	152.6	162.8	172.0	194.6	215.0	216.1	32.7	0.5
Provisions	7.7	6.5	-6.2	16.4	30.2	-3.7	13.2	-313.2	-458.5
PBT	142.0	146.0	169.0	155.7	164.3	218.7	202.9	20.0	-7.2
Tax	39.4	37.2	45.4	40.0	41.4	56.5	61.1	34.6	8.2
PAT	102.6	108.8	123.6	115.7	122.9	162.2	141.7	14.6	-12.6
Balance sheet (Rs Bn)									
	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23	YoY (%)	QoQ (%)
New Approvals	2260	829	2288	2762	3018	1751	0	-100.0	-100.0
Disbursements	2001	894	2208	2472	2705	1722	2245	1.7	30.4
Outstanding loan book	22105	22221	23584	25091	26711	27538	28822	22.2	4.7
Key Ratios (%)									
	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23	YoY	QoQ
GNPA (%)	0.9	0.9	0.8	0.7	0.6	0.7	0.6	-0.2	0.0
NNPA (%)	0.6	0.6	0.5	0.4	0.3	0.3	0.3	-0.1	0.0
PCR (%)	33.5	36.8	40.4	45.2	52.7	54.4	48.4	8.0	-6.0
C/I Ratio (%)	22.4	16.5	17.4	19.0	19.8	15.8	15.8	-1.6	-0.1
ROA (%) (Reported)	2.2	2.0	2.1	2.0	2.0	2.4	2.1	0.0	-0.3
ROE (%) (Reported)	17.5	16.0	16.4	15.8	16.0	20.0	16.8	0.4	-3.2
EPS (Rs)	34.3	8.2	17.5	8.7	9.2	12.2	10.6	-6.8	-1.5
NIM (%) (Reported)	3.9	3.3	3.4	3.7	4.2	3.6	3.6	0.2	-0.1
Yield (%) (Reported)	9.5	8.1	8.0	8.1	8.1	8.5	8.6	0.6	0.1
Cost (%) (Reported)	6.7	5.7	5.6	5.6	5.6	5.8	6.0	0.5	0.2
Spread (%) (Reported)	2.8	2.4	2.4	2.5	2.6	2.7	2.5	0.1	-0.2
Avg. Business Per Branch	112.8	113.4	120.3	127.9	136.1	146.5	143.8	-	-
Avg. Business per Employee	26.1	25.9	26.8	27.6	30.0	30.8	31.5	-	-
Cost Income Ratio (%)	22.4	16.5	17.4	19.0	19.8	15.8	15.8	-	-

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs cr)	FY21	FY22	FY23e	FY24e	FY25e
Interest income	2,006	1,970	2,554	3,223	3,970
Interest expense	1,208	1,154	1,527	1,917	2,378
NII	798	816	1,026	1,307	1,592
Non-interest income	12	19	31	49	59
Net revenues	810	835	1,058	1,356	1,652
Operating expenses	124	153	176	203	230
PPOP	686	682	882	1,153	1,422
Provisions	69	47	79	126	153
PBT	618	635	803	1,027	1,269
Tax	162	164	202	259	320
PAT	456	471	601	768	949
Balance sheet	FY21	FY22	FY23e	FY24e	FY25e
Share capital	27	27	27	27	27
Reserves & surplus	2,583	3,040	3,598	4,323	5,229
Net worth	2,610	3,067	3,625	4,350	5,256
Borrowings	19,348	24,831	29,720	35,257	41,454
Other liability	116	47	50	55	59
Total liabilities	22,074	27,944	33,396	39,662	46,769
Fixed assets	45	48	50	53	56
Investments	50	1,126	665	393	232
Loans	21,891	26,378	32,526	39,448	47,409
Cash	22	324	80	(312)	(1,014)
Other assets	66	69	73	79	85
Total assets	22,074	27,944	33,396	39,662	46,769
Ratios	FY21	FY22	FY23e	FY24e	FY25e
Growth (%)					
NII	21.9	2.3	25.8	27.3	21.9
PPOP	18.4	-0.6	29.3	30.8	23.3
PAT	21.5	3.3	27.5	27.9	23.6
Advances	6.7	20.5	23.3	21.3	20.2
Spread (%)					
Yield on Funds	9.4	7.9	8.4	8.9	9.2
Cost of Funds	6.3	5.2	5.6	5.9	6.2
Spread	3.0	2.7	2.8	3.0	3.0
NIM	3.7	3.3	3.4	3.6	3.7
Asset quality (%)					
Gross NPAs	0.9	0.6	0.6	0.7	0.8
Net NPAs	0.6	0.3	0.3	0.4	0.5
Provisions	34	53	50	48	42
Return ratios (%)					
RoE	19.2	16.6	17.9	19.3	19.8
RoA	2.1	1.9	2.0	2.1	2.2
Per share (Rs)					
EPS	34	35	45	58	71
BV	196	230	272	327	395
ABV	186	224	264	316	377
Valuation (x)					
P/E	15	15	12	9	7
P/BV	2.7	2.3	1.9	1.6	1.3
P/ABV	2.8	2.3	2.0	1.6	1.4

Source: Company, Dalal & Broach Research

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